

Fidelity National Information Services, Inc.

Business Summary May 12, 2023

CORPORATE OVERVIEW. Fidelity National Information Services, Inc. (FIS) is a global leader in financial services technology, providing clients with solutions and services in retail and institutional banking, payments, capital markets, asset management, and wealth and retirement markets. FIS delivers payment processing, financial software, and banking solutions for clients across 100 countries. FIS is headquartered in Jacksonville, Florida.

As a result of the company's acquisition of Worldpay, financial results were recast to align with the new reportable segments – Merchant Solutions, Banking Solutions, and Capital Market Solutions. Notably, Corporate and Other comprise the remainder of FIS's revenue split (2% in 2022) and consist of non-strategic businesses from other segments that it intends to wind down or divest in the future.

Merchant Solutions [33% of revenues] – Focuses on merchants of all sizes, enabling them to accept electronic payments, including credit, debit, and prepaid payments originated at a physical point-of-sale as well as in card-not-present environments, such as eCommerce and mobile. Merchant services include payment processing, including authorization and settlement, customer service, chargeback, and retrieval processing, reporting for electronic payment transactions and network fees, and interchange management. Merchant clients are diversified and include nondiscretionary everyday spend categories, such as grocery and pharmacy, and include 13 of the U.S. top 25 national retailers, as well as global enterprises and small to medium-sized businesses.

Banking Solutions [46% of revenues] – Enables transaction and account processing, payment solutions, digital channel solutions, lending and wealth and retirement solutions, risk, fraud management, and compliance solutions through integrated software applications. Clients include global financial institutions, U.S. regional and community banks, credit unions, and commercial lenders, as well as government institutions and other commercial organizations.

Capital Market Solutions [19% of revenues] – Serves global financial services clients with a broad array of buy- and sell-side solutions. Clients operate in more than 50 countries around the world and include asset managers, buy- and sell-side securities, brokerage and trading firms, insurers, private equity firms, and other commercial organizations. Solutions include a variety of mission-critical applications for recordkeeping, data and analytics, trading, financing, and risk management. Solutions and services are implemented and licensed through "in-house" methods, which use consulting and third-party service providers, as well as fully outsourced end-to-end solutions. Recent investments have been directed toward modernized platforms, cloud, open APIs, machine learning, and artificial intelligence.

CORPORATE STRATEGY. FIS seeks to deliver value-add solutions and services to both existing and new clients, which should result in sustained revenue and earnings growth for shareholders. The company believes investment through internal software development, as well as through M&A investments that complement and extend existing solutions and capabilities, provides the greatest opportunity to cross-sell to existing clients, and capture and expand the new client base.

FIS has built a reputation of under-promising and over-delivering on synergy targets by more than 30% historically with prior acquisitions (SunGard in 2015, Metavante in 2009, and eFunds in 2007). FIS also acquired Worldpay for an implied equity value of \$35.5 billion in July 2019. On January 2, 2020, FIS also acquired a majority interest in Virtus Partners, previously a privately held company that provides high-value managed services and technology to the credit and loan market, for \$404 million.

On February 13, 2023, FIS announced plans to spin off the Merchant Solutions business. The planned separation is intended to create two independent, publicly traded companies with enhanced strategic and operational focus and to enable more tailored capital allocation and investment decisions to unlock growth. The separation is slated for completion within the next 12 months.

COMPETITIVE LANDSCAPE. The company's transaction processing business competes primarily in the large and mid-tier financial institution markets. Both markets have undergone consolidations in recent years. The large financial institution segment is highly competitive and the principal competitors are internal technology departments within banks and large companies. In the market for mid-tier financial institutions, the company competes with domestic and international vendors. The company also competes with pure-play card processors and other financial technology conglomerates with similar product portfolios, such as Fiserv, Global Payments, and Jack Henry & Associates.

FINANCIAL TRENDS. FIS generates revenues from a combination of technology and processing services, payment transaction fees, professional services, and software license fees. Historically, a large portion of its business is recurring, which helps generate predictable fundamentals. However, the Covid-19 pandemic impacted results in 2020 and 2021, as shelter-in-place orders tightened, reducing payment volumes and related transaction revenue.

Revenues increased to \$14.5 billion, or 4.7% in 2022, due to new client wins in Banking, increased Merchant volumes and strong new sales in Capital Markets. During the same time frame, adjusted EBITDA margin contracted by 150 basis points to 42.6% as lower volumes from higher-margin services and cost inflation weighed on levels. Plans now call for \$1.25 billion in cost takeouts by 2024, consisting of \$600 million of opex savings, \$300 million of capex savings, and \$350 million of cumulative savings from the reduction of acquisition and integration-related expenses.

As of December 31, 2022, FIS had cash and short-term investments of \$2.2 billion and debt of \$20.6 billion. FIS expects to achieve a net debt-to-EBITDA ratio of less than 3x post-spin (from 3.2x in 2022), reflecting a focus on debt paydown. Free cash flow (FCF) totaled \$3.2 billion in 2022.

Corporate information

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Officers

Corporate Executive VP & COO

I. Gileadi

Chief Financial Officer

J. Kehoe

CEO, President & Director

S. L. Ferris

Independent Chairman & Lead Independent Director

J. A. Goldstein

Corporate Executive VP and Chief Legal & Corporate Affairs Officer
C. Tsai

Chief Accounting Officer
C. A. Thompson

Chief Technology Officer
F. Bhathena

Board Members

B. T. Shea

E. R. Alemany

G. L. Lauer

J. A. Goldstein

J. B. Stallings

K. T. Lamneck

L. A. Hook

L. Adrean

L. M. Parent

M. D. Benjamin

S. L. Ferris

V. G. D'Silva

Domicile

Georgia

Founded

1968

Employees

69,000

Stockholders

10,020

Auditor

KPMG LLP – Klynveld Peat Marwick Goerdeler

Fidelity National Information Services, Inc.

Quantitative Evaluations						Expanded Ratio Analysis					
Fair Value Rank	NR	1	2	3	4	5	2022	2021	2020	2019	
		LOWEST					HIGHEST				
		Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].									
Fair Value Calculation	N/A						Price/Sales	2.82	4.88	7.07	6.07
							Price/EBITDA	9.97	16.81	26.56	23.23
							Price/Pretax Income	NM	85.26	341.14	155.66
							P/E Ratio	10.20	16.66	25.91	24.79
							Avg. Diluted Shares Outstg. [M]	604.00	621.00	627.00	451.00
							Figures based on fiscal year-end price				
Volatility			LOW		AVERAGE		HIGH				
Technical Evaluation	NEUTRAL	Since July, 2023, the technical indicators for FIS have been NEUTRAL"									
Insider Activity			UNFAVORABLE		NEUTRAL		FAVORABLE				
Key Growth Rates and Averages											
Past Growth Rate [%]							1 Year	3 Years	5 Years		
Net Income							NM	282.83	67.69		
Sales							4.69	12.03	10.88		
Ratio Analysis [Annual Avg.]											
Net Margin [%]							NM	NM	NM		
% LT Debt to Capitalization							29.62	24.68	28.74		
Return on Equity [%]							-44.59	-14.46	-6.80		

Company Financials Fiscal year ending Dec 31										
Per Share Data [USD]	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	-32.58	-34.19	-34.30	-35.51	-25.25	-25.92	-32.65	-37.55	-15.73	-14.16
Free Cash Flow	4.22	5.78	5.35	3.56	4.18	3.42	4.02	2.51	2.78	2.50
Earnings	-27.68	0.67	0.25	0.66	2.55	3.75	1.59	2.21	2.39	1.67
Earnings [Normalized]	6.65	6.55	5.46	5.61	5.23	4.42	3.82	3.22	3.10	2.83
Dividends	1.88	1.56	1.40	1.40	1.28	1.16	1.04	1.04	0.96	0.88
Payout Ratio [%]	NM	230.00	549.00	220.00	49.76	30.53	64.95	48.26	40.50	51.98
Prices: High	122.06	155.96	158.21	141.35	110.83	96.67	81.67	73.60	64.30	53.73
Prices: Low	56.53	101.79	91.68	98.10	92.12	75.52	55.10	58.49	48.17	33.99
P/E Ratio: High	18.40	23.80	29.00	25.20	21.20	21.90	21.40	22.90	20.70	19.00
P/E Ratio: Low	8.50	15.50	16.80	17.50	17.60	17.10	14.40	18.20	15.50	12.00
Income Statement Analysis [Million USD]										
Revenue	14,528	13,877	12,552	10,333	8,423	8,668	8,831	6,596	6,413	6,063
Operating Income	1,688	1,394	688.00	1,056	1,553	1,432	1,229	1,315	1,292	1,203
Depreciation + Amortization	2,422	2,639	2,652	1,644	829.00	828.00	686.00	369.00	344.00	352.00
Interest Expense	300.00	216.00	339.00	389.00	314.00	359.00	403.00	199.00	173.00	199.00
Pretax Income	-16,331	795.00	260.00	403.00	1,089	973.00	837.00	1,037	1,053	824.00
Effective Tax Rate	-2.30	46.70	36.90	24.80	19.10	-33.00	34.80	36.50	31.80	37.50
Net Income	NM	417.00	158.00	298.00	846.00	1,261	525.00	632.00	679.00	493.00
Net Income [Normalized]	935.50	721.80	180.90	433.80	705.00	657.60	502.40	687.90	672.00	577.70
Balance Sheet and Other Financial Data [Million USD]										
Cash	2,188	2,010	1,959	1,152	703.00	665.00	683.00	682.00	493.00	548.00
Current Assets	12,818	10,708	9,898	8,692	3,733	3,688	4,282	3,509	2,473	2,352
Total Assets	63,278	82,931	83,842	83,806	23,770	24,526	26,031	26,200	14,521	13,960
Current Liabilities	16,224	14,466	12,361	10,382	3,125	4,011	3,151	2,364	1,599	1,673
Long Term Debt	14,207	14,825	15,951	17,229	8,670	7,718	10,146	11,430	5,056	4,342
Total Capital	47,957	68,409	70,107	70,243	19,207	19,583	20,323	20,852	11,760	11,210
Capital Expenditures	268.00	320.00	263.00	200.00	127.00	145.00	145.00	133.00	149.00	132.00
Cash from Operations	3,939	4,810	4,442	2,410	1,993	1,741	1,925	1,131	1,165	1,060
Current Ratio	0.79	0.74	0.80	0.84	1.19	0.92	1.36	1.48	1.55	1.41
% Long Term Debt of Capitalization	29.60	21.70	22.80	24.50	45.10	39.40	49.90	54.80	43.00	38.70
% Net Income of Revenue	NM	3.00	1.30	2.90	10.00	14.50	5.90	9.60	10.60	8.10
% Return on Assets	1.44	1.04	0.51	1.23	4.02	3.54	2.94	4.04	5.67	5.47
% Return on Equity	-44.60	0.90	0.30	1.00	8.40	12.50	5.70	8.20	10.70	7.60

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Fidelity National Information Services, Inc.

Sub-Industry Outlook

Our fundamental view of the Transaction and Payment Processing Services sub-industry is positive; following the GICs reclassification to the Financials sector on March 17, 2023, the lion's share of companies are enablers of money transfer for goods and services. Businesses and consumers continue to demand more — faster service, greater convenience, more choices, and enhanced security. Most companies have a tilt toward tech-heavy operating models, ranging from higher-growth SaaS makeups to more transaction-based facilitators across key venues that include disbursements, remittances, commercial point-of-sale (POS) payments, accounts payable, and consumer bill pay.

Our positive stance is predicated around the earnings-driven stories from most names, especially when factoring macroeconomic considerations that participants must maneuver around. Spending remains robust among consumers and businesses, even as net interest margins tighten, and lending activity slows. Card and non-card payment services, digital banking, IT modernization, and data analytics are in high demand, and consumers are looking to this sub-industry to provide these services. The Transaction and Payment Processing Services sub-industry is slated to deliver earnings per share growth of ~14.5%+ in 2024, outpacing most other sub-industries.

The swift expansion and global spread of mobile and e-commerce has created opportunities for merchants to reach customers anywhere, on any device. We remain optimistic about the potential robust growth in the e-commerce market. FIS's 2023 Global Payments Report (GPR) states global e-commerce transaction value grew by a healthy 10% Y/Y from 2021-2022, with a 9% CAGR forecast from 2022-2026 occurring in all regions, presenting attractive cross-border opportunities.

Consumers have more ways to pay than ever and many include tech-offerings (i.e., value-added services). Digital wallets like PayPal, Alipay, and Apple Pay continue their cross-channel prevalence, serving as the top payment method

globally for e-commerce (49% market share) and POS purchases (32% share), resulting in \$18 trillion in consumer spending. These wallets remain among the fastest growing payment methods, with a projected 15% CAGR at POS and 12% yearly growth in e-commerce through 2026. On the flip side, cash's share of global POS transaction value is expected to fall less than 10% by 2026, according to FIS's 2023 GPR.

Consumer's appetite for credit at checkout is expanding to include card-funded digital wallets, buy now pay later (BNPL), and other POS financing options. BNPL remains popular with consumers, accounting for 5% of global e-commerce spending in 2022 (FIS's 2023 GPR). We expect this share to increase as BNPL becomes an important element of the payment mix moving forward.

From here, we think key headwinds that could alter growth are 1) continued prolonged downturns in the macro economy or declines in consumer confidence; 2) a heightened regulatory environment as interchange fees and pricing practices have received significant legal and regulatory scrutiny worldwide; and 3) company-specific execution issues of previously laid out strategies trying to meet consumer's demands. Executives at payments services companies acknowledge that SMBs continue to grapple with challenges related to the payment value chain.

Since the GICs reclassification, the S&P Transaction and Payment Processing Index has risen by 10.7% through August 25, 2023, just under the 12.50% gain from the S&P 500.

/ Blankenship, Caydee

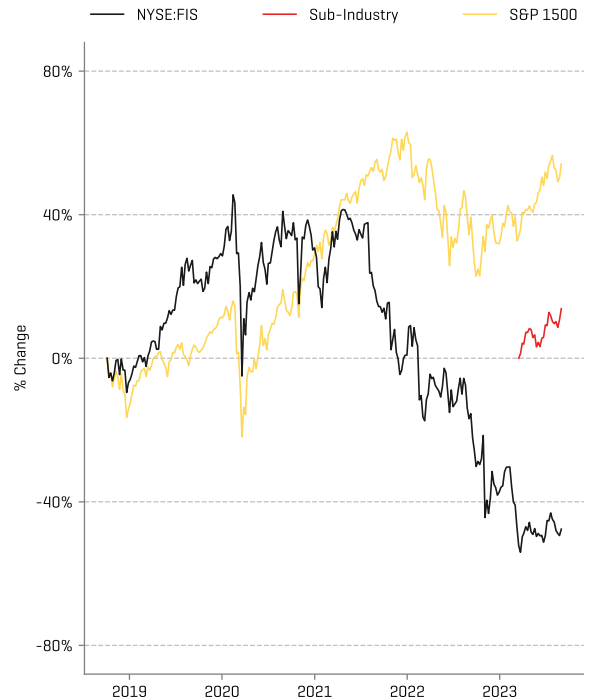
Industry Performance

GICS Sector: Financials

Sub-Industry: Transaction and Payment Processing Services

Based on S&P 1500 Indexes

Five-Year market price performance through Sep 02, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Transaction and Payment Processing Services Peer Group*: Transaction and Payment Processing Services

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
Fidelity National Information Services, Inc.	FIS	NYSE	USD	55.86	33,095.0	-8.5	-38.9	9.0	N/A	3.7	-70.4	34.2
Affirm Holdings, Inc.	AFRM	NasdaqGS	USD	20.81	6,228.0	6.1	-11.2	NM	N/A	N/A	-38.2	67.6
Block, Inc.	SQ	NYSE	USD	57.65	35,172.0	-26.8	-16.3	40.0	N/A	N/A	-1.6	19.1
DLocal Limited	DLO	NasdaqGS	USD	21.44	6,201.0	42.1	-13.8	50.0	N/A	N/A	36.0	N/A
FLEETCOR Technologies, Inc.	FLT	NYSE	USD	271.73	20,096.0	8.2	27.8	17.0	295.28	N/A	31.2	46.7
Global Payments Inc.	GPN	NYSE	USD	126.69	32,939.0	4.9	2.0	13.0	126.91	0.8	3.6	41.9
Jack Henry & Associates, Inc.	JKHY	NasdaqGS	USD	156.78	11,435.0	-8.6	-18.4	31.0	147.46	1.3	24.5	14.2
Remitly Global, Inc.	RELY	NasdaqGS	USD	25.15	4,557.0	27.9	128.6	NM	N/A	N/A	-20.3	6.0
The Western Union Company	WU	NYSE	USD	12.35	4,626.0	1.7	-16.7	7.0	11.70	7.6	139.8	81.8
Toast, Inc.	TOST	NYSE	USD	22.17	11,875.0	1.7	17.1	NM	N/A	N/A	-33.8	N/A
WEX Inc.	WEX	NYSE	USD	196.18	8,427.0	2.2	27.2	41.0	N/A	N/A	11.6	50.1

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA-Not Available; NM-Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Fidelity National Information Services, Inc.

Analyst Research Notes and other Company News

August 02, 2023

08:34 AM ET... CFRA Maintains Buy Rating on Fidelity National Information Services [FIS 61.07****]:

We keep our \$80 target using a forward P/E of 12.1x our 2024 EPS estimate, below 5-year historic average at 17.7x. We raise our EPS estimates in 2023 by \$0.13 to \$6.05 and 2024's by \$0.05 to \$6.60 per share. FIS post Q2 2023 EPS of \$1.55, a \$0.07 consensus beat. We forecast 2023 revenue at \$14.6B and 2024's at \$15.1B compared to \$14.5B in 2022. Segment revenue mix was Banking Solutions +2% Y/Y growth [45% of total revenue], Merchant Solutions +1% [35%], Capital Market Solutions +7% [18%], and Corporate/Other -44% [2%]. Higher growth in e-commerce led to Merchant Solutions global volume +6%, U.S. volume +5%, and total transactions +5%. FIS adjusted EBITDA margins narrowed 160bps to 41.4% in Q2 2023 with a 3% decline in adjusted EBITDA Y/Y. The pending separation of Worldpay Merchant Solutions [WMS] is expected by Q4 2024. On July 6, FIS agreed to sell a 55% stake in WMS to GTCR, private equity firm, in a deal valuing WMS at \$18.5B and took a non-cash impairment charge of \$6.8B due to fair value estimate. / Kenneth Leon

April 28, 2023

01:22 PM ET... CFRA Keeps Buy Opinion on Fidelity National Information Services [FIS 58.71****]:

FIS's first-quarter results were a step in the right direction, as a combination of low expectations and well-balanced segment performance led to a modest boost in organic growth and adj-EPS targets in 2023. Q4 revenues were \$3.51B [+3% Y/Y], beating consensus of \$3.41B, as all three segments [Banking, Capital Markets, and Merchant] cleared the high-end of internal growth targets by ~200 bps. What stood out to us was the large uplift in e-commerce growth [+15%] in Merchant, driven by improved sales execution in the payment facilitator [PayFac] vertical following recent M&A [Payrix]. Adj-EPS came in at \$1.29, above-consensus by \$0.08. Similarly, FIS detailed little impact from recent banking volatility, given its diversified customer base and heavier skew toward tech spending as a core processor. We maintain our price target of \$80, 13.5x our 2023 EPS estimate, discounted to payment peers, reflecting prior operational setbacks. Our 2023 EPS estimate of \$5.92 and 2024's EPS of \$6.55 remain unchanged. / David Holt

February 15, 2023

12:57 AM ET... CFRA Keeps Buy Opinion on Fidelity National Information Services [FIS 67.81****]:

FIS recently pre-announced results, with Q4 revenues of \$3.714B [+1.1%] versus consensus of \$3.691B, and adj-EPS of \$1.71 that edged out expectations by \$0.01. FIS also detailed plans to separate Merchant Services (i.e., Worldpay) from Banking and Capital Markets and touched on the rationale for a spin-off vs. dispositions, given it should allow Worldpay to funnel investments back into the business to augment growth while also sharpen the focus around operational execution, more predictable FCF, and earnings quality. Acknowledging the elongation of sales cycles in Banking inserts some uncertainty, we suspect estimates are tamped down enough to reflect setbacks, with macro deterioration across all segments (i.e., Merchant now bakes in a 500 bps growth headwind); accordingly, we cut our '23 EPS view to \$5.92 from \$7.03 and set '24's EPS at \$6.55. Our target remains \$80, 13.5x our 2023 EPS view – initial sum-of-the-parts analysis also shows upside, even with healthy discounts to peer avgs across business lines. / David Holt

November 04, 2022

11:10 AM ET... CFRA Keeps Buy Opinion on Fidelity National Information Services [FIS 58.90****]:

Third-quarter results were gloomy, as macro headwinds and sales delays for larger banking deals led to broad-based misses [revenues, margins, and EPS] and a downbeat outlook. Quarterly revenues came in at \$3.604B [+2.8% Y/Y] compared to consensus of \$3.608B, with adj-EPS of \$1.74, coming up short of expectations by \$0.01. In hindsight, we have been wrong for not more aggressively scrutinizing strategic moves (i.e., Payrix acquisition in February) to help stem underperformance in Merchant Solutions. That said, we would look for a different exit opportunity, assuming the strategy takes hold, given how much macro deterioration and company-specific risk are now embedded into estimates, lowering the bar for future expectations. In the meantime, we will be keeping an eye out for further declines in the U.K. and deal flow in banking. We lower our target to \$80 from \$120, 11.4x our 2023 EPS estimate, reflecting operational woes. We also drop our 2022 EPS estimate to \$6.63 from \$7.07 and 2023's EPS to \$7.03 from \$8.15. / David Holt

August 05, 2022

01:07 AM ET... CFRA Keeps Buy Opinion on Shares of Fidelity National Information Services [FIS 96.57****]:

FIS reported mixed results, as quarterly beats were overshadowed by a pushout of an expected termination fee in Banking that now occurs in Q4 [vs. Q3], and back-end loads the growth outlook. Second-quarter revenues were \$3.72B [+7% Y/Y] compared to consensus of \$3.67B, with adj-EPS of \$1.73 vs. \$1.61, edging out expectations by \$0.02. Capital Markets [+7% Y/Y] and Merchant [+14% Y/Y] attributed to the strong performance, led higher by e-commerce [+22% organically]. The company also updated its 2022 outlook to reflect the increasingly negative impact from FX headwinds and divestitures [up \$90M to \$510M in total], but its organic growth rate at the midpoint was reiterated at ~8% -- higher interest expense [up \$90M to \$195M] also led to trimmed EPS assumptions. Accordingly, we drop our 2022 EPS estimate to \$7.07 from \$7.33 and 2023's EPS to \$8.15 from \$8.32. We lower our price target to \$120 from \$131, 14.7x our 2023 EPS estimate, aligned with merchant acquiring peers. / David Holt

May 03, 2022

12:18 PM ET... CFRA Keeps Buy Opinion on Fidelity National Information Services [FIS 100.34****]:

FIS printed Q1 results on 5/3 that featured well-balanced segment performance and a reaffirmed 2022 outlook, inclusive of stronger FX headwinds and the wind-down of its Russia-related business, which will be a ~1% growth headwind to its Merchant Solution business. Q1 revenues were \$3.49B [+8% Y/Y] compared to consensus of \$3.44B, with adj-EPS of \$1.47 vs. \$1.30, edging out expectations by \$0.01. Banking Solutions [+7% Y/Y] remains a steady performer that also contributed to strong backlog growth [+8% Y/Y], implying current growth figures are repeatable in future periods. Merchant volumes relaxed slightly [still +10% Y/Y], given FIS's smaller exposure to small and midsize businesses, but also added durability, given uneven macro trends currently. We keep our target of \$131, 17.9x our 2022 EPS estimate, aligned with payment peers. We keep our 2022 EPS view of \$7.33 and raise 2023's to \$8.32 from \$8.25. FIS resumed share repurchases [\$3B for the rest of '22 and \$6B in '23], helping to support future estimates. / David Holt

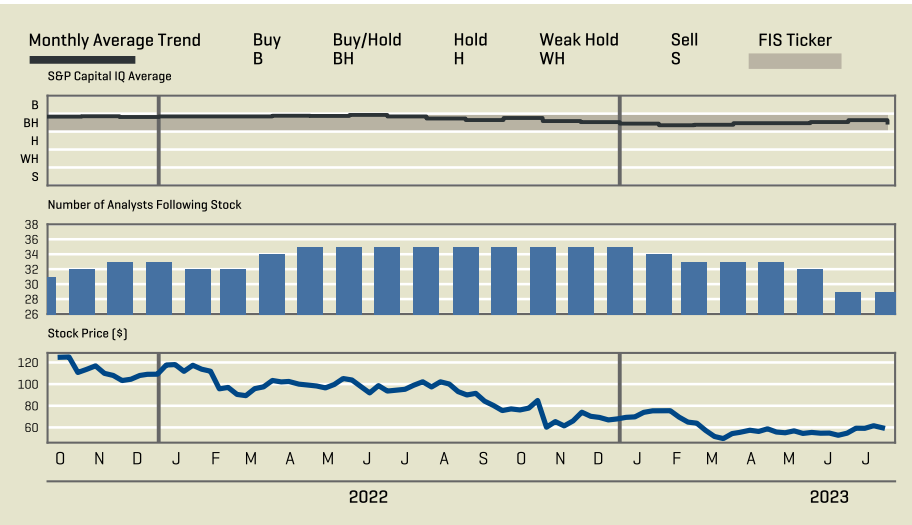
February 15, 2022

02:47 PM ET... CFRA Lowers Fidelity National Information Services to Buy from Strong Buy [FIS 101.75****]:

FIS prints fourth revenues of \$3.67B [+11% Y/Y], narrowly missing consensus of \$3.70B, and adj-EPS of \$1.92 that edged out expectations by \$0.02. The revenue miss and soft sequential outlook was attributed to a rebound in payment volumes that mildly lagged expectations [still +23% Y/Y], due to FIS's sizable exposure to the U.K., which was impacted by Omicron, but should revert closer to large payment networks as the variant recedes. FIS's new 2022 targets also met expectations for organic revenue and adj-EPS growth of 7%-9% and 11%-13%, but still disappointed, especially following managements' confidence around its Merchant Solutions growth in the quarter prior. Even though the acquisition of Payrix should fast-track a recovery in e-commerce volumes, FIS's subtle change in narrative and slower recovery versus peers lead to our belief that FIS no longer warrants our highest conviction rating. We trim our target to \$131 from \$150, 17.9x our 2022 EPS estimate of \$7.33 [from \$7.62]. We also set 2023's at \$8.25. / David Holt

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Analysts Recommendations



Wall Street Consensus Opinion

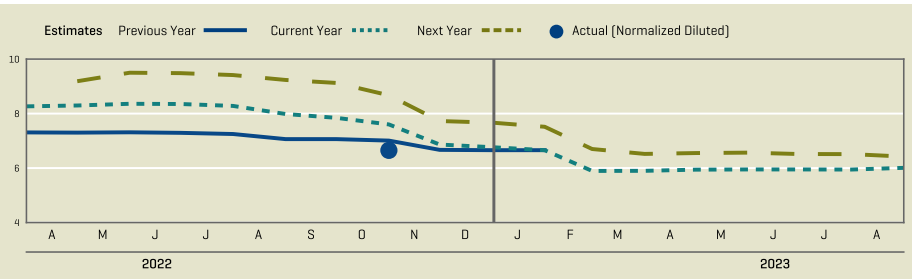
Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that FIS will earn USD 6.01. For fiscal year 2024, analysts estimate that FIS's earnings per share will grow by 6.79% to USD 6.41.

	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	11	38	11	14
Buy/Hold	7	24	7	5
Hold	11	38	11	13
Weak hold	0	0	0	0
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	29	100	29	32

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	6.41	6.72	5.92	27	8.71
2023	6.01	6.13	5.82	29	9.30
2024 vs. 2023	▲ 7%	▲ 10%	▲ 2%	▼ -7%	▼ -6%
Q3'24	1.68	1.77	1.63	8	33.25
Q3'23	1.58	1.65	1.49	24	35.44
Q3'24 vs. Q3'23	▲ 7%	▲ 7%	▲ 9%	▼ -67%	▼ -6%

Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Fidelity National Information Services, Inc.**Glossary****STARS**

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index [MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index]], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share [EPS] estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
 CAPEX - Capital Expenditures
 CY - Calendar Year
 DCF - Discounted Cash Flow
 DDM - Dividend Discount Model
 EBIT - Earnings Before Interest and Taxes
 EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
 EPS - Earnings Per Share
 EV - Enterprise Value
 FCF - Free Cash Flow
 FFO - Funds From Operations
 FY - Fiscal Year
 P/E - Price/Earnings
 P/NAV - Price to Net Asset Value
 PEG Ratio - P/E-to-Growth Ratio
 PV - Present Value
 R&D - Research & Development
 ROCE - Return on Capital Employed
 ROE Return on Equity
 ROI - Return on Investment
 ROIC - Return on Invested Capital
 ROA - Return on Assets
 SG&A - Selling, General & Administrative Expenses
 SOTP - Sum-of-The-Parts
 WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:**★★★★★ 5-STARS (Strong Buy):**

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Fidelity National Information Services, Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of June 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	38.5%	36.8%	46.7%	39.8%
Hold	52.4%	48.0%	44.0%	49.8%
Sell	9.2%	15.3%	9.3%	10.4%
Total	100.0%	100.0%	100.0%	100.0%

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